

the five will be far more able or far less able than the others. Without “scuttlebutt” to guide you, depending on whom you meet you may form far too high or far too low an estimate of the entire management. With “scuttlebutt” you may have formed a fairly accurate idea of who is particularly strong or particularly weak, and are in a better position to ask to meet the specific officers you may want to know better, thereby satisfying yourself as to whether this “scuttlebutt” impression is correct.

It is my opinion that in almost any field nothing is worth doing unless it is worth doing right. When it comes to selecting growth stocks, the rewards for proper action are so huge and the penalty for poor judgment is so great that it is hard to see why anyone would want to select a growth stock on the basis of superficial knowledge. If an investor or financial man wants to go about finding a growth stock properly, I believe one rule he should always follow is this: he should never visit the management of any company he is considering for investment until he has first gathered together at least 50 per cent of all the knowledge he would need to make the investment. If he contacts the management without having done this first, he is in the highly dangerous position of knowing so little of what he should seek that his chance of coming up with the right answer is largely a matter of luck.

There is another reason I believe it so important to get at least half the required knowledge about a company before visiting it. Prominent management and managements in companies in colorful industries get a tremendous number of requests for their time from people in the investment business. Because the price at which their stock sells can have so much significance to them in so many ways, they will usually devote the time of valuable people to such visitors. However, from company after company I have heard the same type of comment. To no one will they be rude, but the amount of time furnished by key men, rather than by those who receive financial visitors but make few executive decisions, depends far more on the company's estimate of the competence of the visitor than it does on the size of the financial interest he represents. More important, the degree of willingness to furnish information—that is, how far the company will go in answering specific questions and discussing vital matters—depends overwhelmingly on this estimate of each visitor. Those who just drop in on a company without real advance preparation, often have two strikes against them almost before the visit starts.